Bank Alfalah

ALFA LEAD ASSESSMENT CENTER

Case Study

A Letter from Branch 0247

Key Terms — Quick Reference	
Customer retention rate	The percentage of customers who stay with the bank over a given period (e.g., if 91 out of 100 customers renew or remain active, retention is 91%)
Complaint resolution time	The average number of days it takes to fully resolve a customer complaint from first contact to closure
ROI (Return on Investment)	How much value an investment generates relative to its cost — expressed as a percentage
Digital adoption rate	The percentage of total transactions conducted through digital channels (app, internet banking) rather than branch or ATM visits
Net revenue per customer	The average annual income the bank earns from one customer, after deducting the cost of serving them

The Letter

The following handwritten, unsigned letter was found in the suggestion box at Bank Alfalah's Head Office during the March 2026 employee engagement survey. It has been edited only for clarity.

To whoever reads this,

I have been with Bank Alfalah for 23 years. I joined as a cashier in Hyderabad when customer records were paper-based. I am now the branch manager of Branch 0247, and I will retire in October.

I am not writing to complain. I am writing because the bank is changing quickly, and I want Head Office to understand what that feels like from a branch.

Ten years ago, a complaint in my branch could take 14 days to resolve. Today, many complaints are resolved in around three days because the complaint system helps us track progress quickly. Three years ago, most customers came to the branch for balance checks, bill payments, or basic updates. Today, many use the Alfa app. The branch is quieter, but conversations are more meaningful: savings, insurance, car financing, and long-term planning.

This progress is encouraging. At the same time, a new concern is growing among staff. Many are not afraid of learning technology; they are afraid of becoming invisible because of it. The question has shifted to: "Will AI decide what customers need, which complaints matter, and which employees are still valuable?"

My youngest teller, Hina, is 24, smart, and speaks three languages. Last week she told me, "Sir, I don't know what I'm supposed to become here." She sees chatbots answering queries, AI prompts recommending products, and automated systems routing complaints before staff speak to the customer. She worries the human role in the branch may shrink.

The opportunity is clear: AI can make us faster, more consistent, and more helpful. But staff need to understand how they fit into that future. A system can suggest the next best product, but an employee still needs to understand context, explain options responsibly, and build trust.

I am proud of this bank. We serve customers faster, the app is widely used, and branch conversations are becoming more advisory. But technology, including AI, is an enabler, not a destination. The best system is useful only when people know why they are using it and how it helps them serve better.

Yours faithfully,
Branch 0247

Bank Alfalah's Opportunity

Bank Alfalah's customer experience investments are showing positive results. Complaint resolution time improved from 5 days in 2023 to 3 days in 2025. Customer retention improved from 82% to 91%, while the active customer base remained stable at 4.2 million. Alfa app monthly active users increased from 1.4 million to 2.8 million. Digital adoption has reached 67% in Q1 2026 and is growing by approximately 3 percentage points per quarter. Branch footfall has reduced by 35%, while average transaction value per branch visit has increased by 60%, suggesting more advisory interactions.

The annual customer experience investment is PKR 320 million, covering complaint systems, training, digital tools, and branch redesign. Average net revenue per customer is PKR 4,200 per year. The next opportunity is to ensure AI-enabled tools strengthen both customer outcomes and employee confidence.

Crunch the Numbers

The CX team wants to quantify the return on the bank's customer experience investments. Using the scorecard above:

1. The bank's customer retention rate improved from 82% to 91% over two years, while the active customer base held steady at 4.2 million. This means the bank is now retaining customers it would have previously lost. Calculate how many additional customers are retained each year due to this improvement, and multiply by the average net revenue per customer (PKR 4,200) to estimate the annual revenue impact. Then compare this to the PKR 320 million annual CX investment. Is the investment paying for itself?
2. The bank's digital adoption rate for routine transactions is currently 67% (Q1 2026) and growing at 3 percentage points per quarter. The target is 75% by the end of 2026. Will the bank reach this target? If so, by how much will it exceed or fall short?

Your Task

The CEO has read the letter and wants your team's honest perspective. Discuss what it reveals about employee anxiety, AI adoption, customer experience, and the future role of branch staff.

1. What does the branch manager mean when he writes that technology and AI are enablers, not destinations?
2. Why might employees like Hina feel fearful of AI, even while customer experience indicators improve?
3. What should the role of a branch employee look like in three years?
4. What must Bank Alfalah do to ensure AI supports employees rather than making them feel replaced?
5. What one priority would you advise the CEO to focus on for the next two years, and why?

Present your perspective as a team. Be thoughtful, practical, and ready to explain your reasoning.

***Note**: Certain facts and figures in this case study have been fictionalized for contextual purposes and may differ from actual data.*